

ITC: STAKEHOLDER VALUE THROUGH PURPOSEFUL PERFORMANCE

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Enduring Value

Every new beginning evokes new hopes and aspirations. As the NDA 3.0, led by the Hon'ble Prime Minister, Shri Narendra Modi, begins a new term, the commitment to forge ahead with redoubled energy on its journey to a *Viksit Bharat* is evident. The Union Budget presented by the Hon'ble Finance Minister, Smt Nirmala Sitharaman, commendably focusses on unleashing inclusive growth with macro-economic stability.

ITC has, over decades, lived by its abiding vision to create larger value for its stakeholders and serve national priorities. This pledge, enshrined in our credo of Nation First: *Sab Saath Badhein*, is manifest in multidimensional endeavours. The creation of world-class Indian brands that retain larger value in the country, state-of-the-art manufacturing facilities, iconic hospitality properties, cutting-edge R&D, extensive farmer engagement and meaningful social initiatives that enrich livelihoods, are purposeful strides to shape a future-ready enterprise for the nation. The large-scale programmes to augment precious natural resources together with impactful climate action make your Company a sustainability exemplar.

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Your Company's deep engagement in all the 3 sectors of the economy – agriculture, manufacturing and services - enables us to make a meaningful contribution to the nation's progress.

Your Company attained several global sustainability distinctions and is the only enterprise in the world of comparable dimensions to be water, carbon and solid waste re-cycling positive for 22, 19 and 17 years, respectively. **For the 6th successive year, ITC earned its 'AA' rating by MSCI-ESG. During FY24, ITC achieved the highest 'A' rating for CDP Water whilst retaining the 'Leadership Level' for CDP Climate.** ITC remains an integral part of the Dow Jones Sustainability Emerging Markets Index. **Your Company has already achieved its 2030 target of sourcing 50% of total energy from renewable sources, as also its targets for AWS platinum water stewardship by certifying 8 high-stress sites.**

It is indeed a matter of pride that 12 of your Company's hotels and the Data Centre were the first in the world to achieve LEED® Zero Carbon certification. The first 4 hotels in the world to be LEED® Zero Water are also from ITC. Promoting circularity, ITC has been Plastic Neutral for the last 3 years. Your Company's multi-dimensional social development programmes empower rural communities across the country, including 6 million women.

ITC's triple bottom line approach, driven by its abiding philosophy of 'Responsible Competitiveness' assumes even more relevance in the current socio-economic context.

A Resurgent India Amidst Global Challenges

We live today in a world that is traversing through a perfect storm of geopolitical tensions, climate emergency, cost of living crisis, food and nutrition security concerns as well as inadequate livelihood opportunities.

Amidst these adversities, rapid technological advancements including AI are redefining the future. Although the evolving risks are daunting, challenges also ignite new opportunities to shape a stronger, secure, resilient and a promising tomorrow.

In such a turbulent world, India has emerged as an inspiring lighthouse of growth. The stand-out performance, as the world's fastest growing major economy with a consistent 7%+ GDP growth rate over the last few years, has not only evoked global respect but also points to its future promise.

Undoubtedly, India's economic transformation is testimony to the Government's far-sighted policies and astute economic management. Sustained public expenditure in physical, digital, agri and rural infrastructure, combined with sharp execution, is fuelling a virtuous cycle of consumption, investment and employment.

The rise of Aspirational India will also spur consumption-led growth. Estimates suggest that the country's consumer market will more than double to over US$ 5.2 trillion by 2031. Analysts project that India's per capita GDP is likely to touch the inflexion point of US$ 4,000 by 2030, fuelling larger domestic consumption and driving higher growth.